

CHEROKEE COUNTY, GEORGIA
NOTES TO THE BASIC FINANCIAL STATEMENTS
SEPTEMBER 30, 2025

Bonds Payable (Direct Borrowing/Placements). The County has general obligation bonds payable outstanding at September 30, 2025, which includes the following individual issues:

Purpose	Interest Rate	Term	Due Date	Original Amount	Outstanding Amount
Recreation bond- 2012	1.90%	15 years	2026	\$ 11,410,000	\$ 1,665,000
Recreation bond- 2014	2.84%	15 years	2029	22,823,000	12,055,000
Refunding bond- 2016	1.67%	14 years	2029	28,450,000	11,380,000
			Plus unamortized premium		108,646
					<u>\$ 25,208,646</u>
			Less current maturities		5,935,000
					<u><u>\$ 19,273,646</u></u>

The 2016 Refunding bonds were issued to refund a portion of the Series 2009 Parks and Recreation bonds. The refunding reduced total debt service payments by \$3,617,333, resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of \$3,252,728. The amount of defeased debt outstanding but removed for the County's records totaled \$11,615,000 at September 30, 2025.

The 2009, 2010, 2012, and 2014 bond series were issued to assist with the financing of the purchase, construction and improvement of parks, recreational land, facilities and equipment, including green space.

Annual debt service requirements on the general obligation bonds are as follows:

Fiscal Year Ending September 30,	Principal	Interest
2026	\$ 5,935,000	\$ 503,825
2027	6,150,000	372,745
2028	6,385,000	228,006
2029	6,630,000	77,064
	<u>\$ 25,100,000</u>	<u>\$ 1,181,640</u>

Subscriptions. The County has entered into subscription based information technology arrangements (SBITA) involving desktop and server software subscriptions and communication services software. The total of the City's subscription assets are recorded at a cost of \$1,904,053, less accumulated amortization of \$748,830. Future subscription payments under SBITA agreements are as follows:

Fiscal Year Ending September 30,	Principal	Interest
2026	\$ 623,368	\$ 28,808
2027	102,317	3,879
	<u>\$ 725,685</u>	<u>\$ 32,687</u>

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Financed Purchase (Direct Borrowing/Placements). Various leases for financing vehicles were entered into by the County. The leases expire beginning fiscal year 2025 through 2028. The gross amount of Governmental Activities assets on the balance sheet recorded under leases is \$2,517,732 and accumulated depreciation is \$2,299,443. Amortization expense of the assets recorded under the leases is included in depreciation expense. The debt service requirements on these leases are as follows:

Fiscal Year Ending September 30,	Principal	Interest
2026	\$ 105,789	\$ 14,917
2027	87,756	7,987
2028	7,934	2,516
	<u>\$ 201,479</u>	<u>\$ 25,420</u>

Note Payable (Direct Borrowing/Placement). In May 2022, the County was awarded a \$2,900,000 note ("2022 GTIB Note") from the State Road and Tollway Authority's Georgia Transportation Infrastructure Bank ("GTIB") for road and infrastructure development. The 2022 GTIB note bears interest at a rate of 0.21% compounding annually. Interest will begin to accrue at the earliest of the completion date of the project, date the note is fully disbursed, or on the notes effective date of February 1, 2024 (the "Amortization Commencement Date"). The 2022 GTIB note is due in monthly installments beginning on the Amortization Commencement Date and matures on the 5th anniversary of the Amortization Commencement Date. The County did not begin to make draws on the 2022 GTIB Note until April of 2023. As of September 30, 2025, \$2,900,000 has been drawn down and \$1,936,714 is outstanding. The debt service requirements on the 2022 GTIB Note are as follows:

Fiscal Year Ending September 30,	Principal	Interest
2026	\$ 579,592	\$ 3,509
2027	580,810	2,291
2028	582,031	1,070
2029	194,281	85
	<u>\$ 1,936,714</u>	<u>\$ 6,955</u>

Landfill Postclosure Costs. The County owns and operated a landfill site which began operating in November 1976. State and federal regulations require the County to close its landfill once its capacity was reached on July 1, 1994, and to monitor and maintain the site for 30 years after closure.

The County elected an early closure date of October 3, 1993, and for that reason was exempt from the 30 year rule, and was required to monitor the landfill for only five years. However, recent monitoring has detected levels of contamination higher than permissible. Engineers are in the process of obtaining the Georgia Environmental Protection Division's acceptance of the County's corrective action plan. At this time, engineering studies estimate postclosure costs of approximately \$2,803,378 over the next 4 years. These costs are based on the amount that would be paid if all equipment, facilities, and services required to monitor and maintain the landfill were acquired as of September 30, 2025. However, actual costs may be higher due to inflation, changes in technology, or changes in landfill laws and regulations.